



FETTE COMPACTING

Fette America, Inc.
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June 29, 2005

Mr. Matt Reddick
RJ Reynolds Tobacco Co.
PO Box 1487
Winston-Salem, NC 27102

Dear Mr. Reddick:

We at Fette America are pleased to submit to you the following quotation for the Fette 1200 i tablet press.

QUOTATION # Q218B-05

Qty	Code	Description	Single price in \$	Total price in \$
1		FETTE 1200 i with 15" TOUCH SCREEN CONTROL Machine base price (please select one of the following die table sizes): 20 stations IPT 1"(D) Max. dia. 25.4mm (1"); 24 stations IPT 19 (standard B) Max. dia. 16mm (0.6299"); 30 stations IPT 19 (small B) Max. dia. 13mm (0.5118"); 32 stations (Small EU tooling) Max. dia. 11mm (0.4331"); (Hard chrome plating is NOT included and is itemized separately below) Provided with Delrin upper cams Die table will be equipped with <u>standard 14mm fill cam</u> unless another size is specified by buyer on written purchase order. <u>As part of the base machine package, the following items will be provided:</u> * Machine operation manuals, including standard operating procedures - INCREASED LEVELS OF SOUND DAMPENING MACHINE SHROUDING - 15" OPERATING TERMINAL - USER FRIENDLY OPERATING SURFACE H 23 Upper-punch-shaft-lubrication H 37a Main Drive Motor with Forced Air Cooling and with Brake S 1 Main compression measurement S 23 Feedback (compression force control) S 43 Punch Saving System S 45 Password S 5 Missing punches SH 2 Pre-compression measurement SH 21 Punch tightness measurement on top w/torque, at bottom w/gear force in dosing device S702 Configurable special list "T" (combination of max. 34 customer-specified parameters on one page) SH 4b Dual circuit lubrication system (one pump) (with three-path valve)	316,425	\$316,425
	P 25	ADDITIONAL OPTIONS: (Some unit pricing may differ if ordered separately from the machine) Extra DIE TABLE: (Set-up station sold separately) <u>Select one of the following:</u> 20 stations IPT 1"(D) Max. dia. 25.4mm (1"); 24 stations IPT 19 (standard B) Max. dia. 16mm (0.6299"); 30 stations IPT 19 (small B) Max. dia. 13mm (0.5118"); 32 stations (Small EU tooling) Max. dia. 11mm (0.4331"); (Hard chrome plating is NOT included and is itemized separately below) Provided with Delrin upper cams Die table will be equipped with <u>standard 14mm fill cam</u> unless another size is specified by buyer on written purchase order.	\$49,864	(not included)
	P 272	Handling arm for 1200 i	\$9,632	(not included)
	P 273	Stainless steel, height adjustable set up station for 1200 i	\$9,084	(not included)
(Additional options continued on next page)				

Qty	Code	Description	Single price in \$	Total price in \$
		FETTE 1200 i with 15" TOUCH SCREEN CONTROL		
		ADDITIONAL OPTIONS: (Some unit pricing may differ if ordered separately from the machine)		
	P 2	GRATEX (Tablet deduster)	\$13,943	(not included)
	P 60a	Vertical deduster - 450mm lift	\$36,337	(not included)
	P 60b	Vertical deduster - 700mm lift	\$39,544	(not included)
	P61a	Vertical deduster - 450mm lift - combined with Safeline metal check unit	\$63,828	(not included)
	P 61b	Vertical deduster - 700mm lift - combined with Safeline metal check unit	\$66,844	(not included)
	P 62a	Vertical deduster - 450mm lift - combined with Lock Met 30+ metal check unit	\$60,546	(not included)
	P 62b	Vertical deduster - 700mm lift - combined with Lock Met 30+ metal check unit	\$63,561	(not included)
	P 1207	Checkmaster 4.1 (weight/thickness/hardness tester), including: -Sampling chute and required software	\$89,438	(not included)
	P 13	Schleuniger AT4-SC unit (weight/thickness/hardness tester), including: -Sample collector, sampling chute and required software	\$97,341	(not included)
	P 1207	PNEUMATIC TABLET TRANSPORT SYSTEM (Venturi system)	\$3,832	(not included)
	P35a	LOMA metal check unit, including metal check testing software	\$26,572	(not included)
	P35b	SAFEJINE metal check unit, including metal check testing software	\$25,384	(not included)
	P35c	LOCK metal check unit, including metal check testing software	\$31,704	(not included)
	P 28	New cart-style parts butler on wheels	\$9,894	(not included)
	S 591b	GRAVITY FEEDER (Open feed frame) IN ADDITION TO standard Fillomatic	\$13,681	(not included)
	EPC	Electro-polished tablet chute	\$417	(not included)
	P20a	Additional price for wireless terminal incl. battery, charging station, disk and CD-drive	\$19,218	(not included)
	P20c	Additional price for CD-burner	\$769	(not included)
	3600720	Calibration set for compression force measurement	\$10,215	(not included)
	3600810	Calibration set for compression force measurement, tablet ejection and punch tightness measurement	\$14,692	(not included)
	SH 5	Vacuum control	\$5,904	(not included)
	SH 7	Tablet chute back-up control	\$2,883	(not included)
	SH 9	Product level control (hopper)	\$4,352	(not included)
	SH 22	Ejection Force Measurement	\$9,960	(not included)
	SH 25	Pneumatic reject system	\$17,751	(not included)
	SH 41a	Galenik R&D software including single tablet compacting and ejection force measurement (SH22)	\$48,892	(not included)
	S 539a	Memory storage capacity for 500 batches (standard: 100 batches)	\$663	(not included)
	S 580	Request of mechanical penetration depth	\$192	(not included)
	S 585	Main drive ampere monitor	\$438	(not included)
	S 2	Same punch bad	\$1,367	(not included)
	S 3	Multi tip tooling	\$1,367	(not included)
	S 6	Display and print out of diagnosis records	\$2,152	(not included)
	S 12	Production record print out	\$4,685	(not included)
	S 26	Punch start relief	\$1,367	(not included)
		The following options are required for CFR 21 Part 11 compliance:		
	S 650	Export of protocol in Excel format (CFR)	\$809	(not included)
	S 652a	Export/import path of dates variable & automated batch export after batch end (CFR)	\$799	(not included)
	S 750	Check calculation of batch data files to identify.....for higher safety level (cyclical redundancy check) (CFR)	\$3,075	(not included)
	S 42 K1	Display and print out of change records (CFR)	\$2,428	(not included)
	S 718	Password administration with NT functions (CFR)	\$481	(not included)
	S 779	Locking of the desktop and blanking of the hot key ctrl-alt-del (CFR)	\$1,922	(not included)
	S 725	Automatic operator logoff after X minutes (CFR)	\$192	(not included)
	S 727	Main compression penetration depth not larger than pre-compression	\$481	(not included)
	S 717	Diagnostic messages via e mail or SMS	\$576	(not included)
	H 3	External transformer (if 575 voltage is required)	\$5,085	(not included)
	H 4	Additional cable lengths (priced per meter) for factory-ordered presses: (Control Unit - Machine ; standard 3m) MAX LENGTH 10 METERS	\$43	(not included)
	H 11	Hard chrome plating of die table plate (price PER die table)	\$3,617	(not included)
	H 12	Distribution wheel w/ rod inserts	\$2,091	(not included)
	H 13	Filling wheel w/ rod inserts	\$2,091	(not included)
	H 15	Additional fill cam for 1200 i (please specify required size on purchase order)	\$1,724	(not included)
	P20a	Additional price for wireless terminal incl. battery, charging station, disk and CD-drive	\$19,218	(not included)
	P20c	Additional price for CD-burner	\$769	(not included)
	H 43	Rear vacuum connection when ordered on a new machine from the factory	\$3,678	(not included)
	H 43a	Rear vacuum connection as a retrofit for an existing machine	\$6,717	(not included)
	Parts	Complete supply of recommended spare parts, TSM 19, as per the attached quote	\$19,007	(not included)
	Parts	Complete supply of recommended spare parts, TSM 1", as per the attached quote	\$17,380	(not included)
		Please refer to the attached documentation listing for descriptions of the following products:		
	SV	Standard validation protocol, including installation and operation qualifications	\$20,000	(not included)
	AV	Advanced validation protocol, including installation and operation qualifications	\$40,000	(not included)
	SDS	System design specification	\$40,000	(not included)
	PM	Preventative maintenance manual	\$1,000	(not included)
	FACO	Machine check-out at Fette America, NJ (maximum three days), including FAT protocol	\$10,000	(not included)
	FAT	Factory acceptance test at Fette, Germany (maximum three days)	\$5,586	(not included)
		<i>Note: Machine checkout must be performed within 30 days of completion of machine manufacturing.</i>		

Price for 1200 i with features included in base price (excluding additional options) ...

\$316,425

Estimated shipping, importation, packing and crating costs, including all related import and customs duties, insurance and fees....

\$19,618

Shipping costs will vary in accordance with equipment purchased and final purchase price. Please include an allotment on purchase order for said costs.

A 10% DISCOUNT WILL BE APPLIED TO ANY SPARE PARTS PURCHASED SIMULTANEOUSLY WITH A NEW TABLET PRESS.

TERMS AND CONDITIONS

DELIVERY TIME:

Our standard delivery time is approximately **8 weeks** after receipt of written purchase order and clarification of all technical details. Fette America normally has a certain number of 1200 i machines, specified with common options, on reserve at Fette GmbH in preparation for quick delivery. The availability of these reserved machines varies at any given time. Exact details would have to be discussed when buyer's purchase timeline is definitive.

The lead-time for certain ancillary items may exceed 8 weeks.

INSTALLATION / TRAINING:

This portion of work will be billed separately and will require a separate purchase order. Installation and training is normally conducted during a **10-day** period. Any time exceeding **10** days would be added and billed similarly.

This **10-day** term includes travel time. Service rates are as follows:

For the United States and Canada (including Puerto Rico)

Straight time: \$125/hour Travel straight time: \$85/hour

Overtime: weekdays and Saturdays - 1st shift: \$195/hour Travel overtime: weekdays and Saturdays - 1st shift: \$85/hour

Overtime: Sundays, Saturdays 2nd shift, or any 3rd shift: \$250/hour Travel overtime: Sundays, Saturdays 2nd shift, or any 3rd shift: \$110/hour

Overtime-Holidays: \$250/hour Travel overtime-Holidays: \$165/hour

ESTIMATED travel costs for the United States and Canada (including Puerto Rico)

The following estimates for travel expenses include costs for hotel, airfare, car rental, daily subsistence, parking, fuel, etc.

For a 10-day installation - estimated travel expenses: \$4,860

For a 15-day installation - estimated travel expenses: \$6,135

For a 20-day installation - estimated travel expenses: \$7,720

PRICE GUARANTEE:

This quotation is based on the terms stated herein, and will become a contract only after Fette America, Inc. has received buyer's written purchase order at its office in Rockaway, New Jersey. Prices are firm for a period of thirty (30) days from the date of this quotation. However, prior to Fette America, Inc.'s acceptance of buyer's purchase order, Fette America, Inc. may withdraw or modify this quotation. The U.S. dollar amount of this quotation is based on the current exchange rate (US dollar/Euro), thus all pricing herein is subject to change in accordance with fluctuations of the exchange rate.

CONDITIONS OF PAYMENT:

50% Down-payment with written purchase order.

40% Upon receipt of shipping documents from Germany.

10% Upon delivery, net 30 days.

DELIVERY TERMS:

Shipping, importation, packing and crating costs are outlined above.

CANCELLATION POLICY:

The following penalties apply if an order is cancelled at any time following the issuance of buyer's written purchase order:

-20% of the total order amount.

-Special features/options/modifications: Buyer will be totally responsible for the total cost of special features/options/modifications upon the cancellation of the order.

-Restocking charges: A 15% restocking charge will apply to any ancillary/peripheral equipment upon the cancellation of an order.

-Handling charges: Certain handling charges may apply.

-Shipping charges: If an order is cancelled succeeding the shipment of the order, buyer is responsible for all shipping and importation charges incurred for said shipment(s) in order for shipment(s) to be returned to Wilhelm Fette GmbH, Schwarzenbek, Germany or to Fette America, Inc., New Jersey.

WARRANTY:

12 months from the first day of installation. This warranty excludes wear parts, product-related conditions, conditions caused due to operator error, and damages resulting from buyer disregarding delivery terms as specified on order acknowledgement(s).

Buyer's non-use of OEM parts voids this warranty.

Thank you for your interest in Fette products.

Best Regards,

Matt Bundenthal
Regional Sales Manager